

Trusting someone else to manage your investments without any involvement from you. Whether you work with a financial planner or advisor or your partner manages the investment decisions, I can't stress the importance of understanding your financial big picture and being involved in any financial decisions being made. Understanding where and how your money is invested, where the accounts are, what the investment decisions are based on, and how to access your investments is so important. Investing jointly? Make sure your name is on the investments, too!

Trying to time the market. This can also be described as attempting to predict the future and buy or sell based on when you think the market is high or low. More often than not, this does not work and can result in a ton of poor decisions and wasted time, both of which can cost you a lot of money, so forget about timing the market. Your focus should be on understanding your investments and creating a long-term plan that aligns with your life and your financial goals. Once you have a solid long-term investment plan in place, you can become more conservative as you approach the timeline when you'll need your money.

Expecting overnight returns on your investments. There's no such thing as an overnight sensation, at least not literally, and if anyone is trying to sell this to you, run! Grab your handbag, your car keys, pack up your lunch, and get out of there. Investments require time to perform and grow in value and Rome was not built in a day.

Not considering taxes in your long-term plan. Understanding what your potential tax burden will be is critical to your plan. You'll need to make sure you factor in how much in taxes you will have to pay on your earnings. This way, you can ensure you are achieving your financial goals from investing in addition to your tax obligations. A financial advisor or a tax accountant can guide you through this conversation around taxes.

Now that you know what investment pitfalls to avoid, you can revise your strategy accordingly and set yourself up for even greater success with your money over the long term.